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NVIDIA Corp Earnings Call [View on the Bloomberg Terminal](#)

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Guidance

- Q1 FY2026 revenue is expected to be \$43 billion $\pm 2\%$, with sequential growth expected in both Data Center and Gaming segments
- Q1 FY2026 gross margins guidance: - GAAP: 70.6% ± 50 bps - Non-GAAP: 71% ± 50 bps
- Operating expenses for FY2026 are expected to grow in the mid-30s percentage range
- Q1 FY2026 other guidance: - Operating expenses: \$5.2B GAAP, \$3.6B non-GAAP - Other income: ~\$400M (excluding equity securities gains/losses) - Tax rate: 17% $\pm 1\%$
- Gross margins are expected to improve to mid-70s later in the fiscal year as Blackwell production fully ramps

Margin Story

- Q4 GAAP gross margin was 73% and non-GAAP gross margins were 73.5%, declining sequentially with initial Blackwell deliveries
- For Q1 FY26, GAAP and non-GAAP gross margins are expected to be around 70.6% and 71% respectively
- During the Blackwell ramp, gross margins will be in the low 70s as the company focuses on expediting manufacturing, but are expected to return to mid-70s later in the fiscal year once fully ramped
- The complexity of Blackwell systems, with multiple configurations, networking options, and cooling solutions, provides opportunities for margin improvement over time

AI Strategy

- AI is driving unprecedented demand, with Q4 Data Center revenue reaching \$35.6 billion, up 93% year-on-year
- Three key scaling factors are driving AI compute demand: 1) Pre-training with multimodality 2) Post-training using reinforcement learning 3) Test-time/inference scaling for reasoning AI
- Reasoning AI models like OpenAI's o3, DeepSeek-R1 and Grok 3 require significantly more compute power - up to 100x more per task compared to traditional inference
- The new Blackwell architecture was specifically designed for reasoning AI, delivering up to 25x higher token throughput versus previous generation
- AI has become mainstream across industries, being integrated into delivery services, education, healthcare, financial services and more
- The future of software development is shifting from traditional hand coding to machine learning-based approaches

Cloud Strategy

- Large Cloud Service Providers (CSPs) represented approximately half of NVIDIA's data center revenue and saw nearly 2x year-over-year growth

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- Regional cloud providers increased as a percentage of data center revenue, reflecting global AI infrastructure expansion
- Cloud providers are deploying large-scale Blackwell systems, with CoreWeave launching a 100,000 GB200 cluster
- Cloud infrastructure serves both internal cloud provider workloads and external enterprise customers

Orders

- Demand for Blackwell exceeded expectations, with \$11B in Blackwell revenue delivered in Q4
- Demand for Blackwell is described as "extraordinary" with customers racing to build out infrastructure
- Gaming segment demand remained strong through holidays but Q4 shipments were constrained by supply
- The company has visibility into customer orders and plans, which helps inform their outlook

Competition

- The market in China remains very competitive for Data Center solutions
- Jensen Huang discussed NVIDIA's competitive advantages over custom ASICs, highlighting: 1) NVIDIA's general-purpose architecture that works well across different model types, 2) end-to-end capabilities from data processing through inference, 3) fast performance improvements that directly impact revenue potential, and 4) their complex software ecosystem that is difficult to replicate

Market Share

- China's share of Data Center revenue remains well below pre-export control levels, at approximately half of what it was before restrictions
- Large Cloud Service Providers (CSPs) represent about half of NVIDIA's data center revenue
- NVIDIA maintains over 75% networking attach rate to their GPU compute systems

Capital Allocation

- In Q4 2025, NVIDIA returned \$8.1 billion to shareholders through share repurchases and cash dividends
- Looking forward, data centers are expected to allocate most of their capital expenditure to accelerated computing and AI

Labor

- The document contains no substantive discussion of labor-related matters like hiring, layoffs, or employment practices. The only minor reference to labor is a brief mention of "100,000 factory operators" involved in manufacturing Blackwell components

Macro Environment

- The document contains no direct discussion of macro factors like interest rates, inflation, or broader economic conditions. The earnings call focused primarily on NVIDIA's business

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performance, AI technology developments, and product roadmap. The only macro-related comment was a brief reference to GDP when discussing AI's potential market impact

- Regarding consumer demand/spending, the only relevant discussion was around gaming revenue, where demand remained strong during the holidays but supply constraints impacted shipments

Supply Chain

- NVIDIA has an extensive manufacturing network for Blackwell systems, involving 350 plants manufacturing 1.5 million components per rack
- The company experienced initial supply chain challenges with Blackwell but has fully recovered, with strong support from supply chain partners
- Gaming revenue was impacted by supply constraints in Q4, but supply is expected to increase in Q1

Pricing

- The company expects to improve costs and margins over time with Blackwell systems after the initial ramp, suggesting they are prioritizing speed to market over initial cost optimization
- NVIDIA's technology delivers cost advantages through performance improvements, with Jensen noting they've achieved "200x reduction in inference costs in just the last two years"

Product Development

- Blackwell GPU architecture has successfully ramped production, delivering \$11B in revenue last quarter
- New GeForce RTX 50 series desktop and laptop GPUs were announced, featuring Blackwell architecture with 2x performance improvement and new AI capabilities
- Next-generation Blackwell Ultra is scheduled for launch in second half of 2025, followed by Vera Rubin architecture
- Initial Blackwell launch experienced a "hiccup" causing 2-month delay, but has since recovered
- Each Grace Blackwell system requires complex manufacturing involving 1.5 million components across 350 manufacturing sites

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